

LOCK IT UP!

Locking money up for long periods of time can help money go from new to old without getting wasted. Not only does this protect it from you and your family, it protects it from the government. The feds tax transactions. They tax liquidity events. They don't tax unrealized, compounding gains. This is why most successful families favor very long-term investments in very illiquid assets. Typically, this is a business or real estate. Or some form of concession, such as timber or mineral rights.

Among our friends is a family that owns vast tracts of forest. They have been in the family for five generations. The present generation could sell the land. But it would so shock the family culture and family conscience that it is almost impossible to do so. It would take a very ambitious, very brash business school graduate to even suggest such a thing. And then, with luck, the rest of the family would overrule him.

Another family we know bought a gold mine. The gold is deep. Even at today's prices, it is scarcely worth bringing the gold up out of the ground. But what a great family asset! Since the gold is so deep, the family cannot expect much in the way of ready money by operating the mine. It just sits there, waiting for the next generation, the next round of inflation and repricing. It is an asset that is hard to spend, hard to dissipate, and even hard to appreciate. It is just there.

Between the Malibu beach house and the gold mine, there is a whole world of real estate: farms, ranches, apartment complexes, office buildings, shopping malls, and parking lots.

As a general rule that applies to businesses as well as real estate, the less desirable the property, the more profitable it is on an annual basis. Slum real estate and parking lots produce decent yields. Horse farms produce less income than soybean farms. Pawnshops are more profitable than art galleries.

You can easily see why this is. People want to own art galleries. They only own slum apartment buildings for the money. So the money has to be good in the slums. It doesn't have to be good in art galleries. As they say, an art gallery is a good way to make a small fortune out of a big one.